

SNDL pitch deck

PITCH — SNDL — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order, no starter; the case reopens on one unread document, not on a price.

What we believe

SNDL is a Canadian liquor-and-cannabis retailer (Ace Liquor, Wine and Beyond, Liquor Depot, Value Buds, Spiritleaf) doing roughly C\$943M of annualized revenue with no funded debt and C\$183.2M of cash. It trades at US\$1.33, about 44% of its own stated book value (shareholders' equity C\$1,063.7M ÷ 1.4210 = US\$748.6M, ÷ 248.66M shares = US\$3.01/share).

The thing worth arguing about is **not** the retail business. It is a single line on the balance sheet: **SunStream Bancorp, carried at C\$400.4M** inside a C\$414.9M investment portfolio. That mark is about 85% of the entire market capitalization (US\$281.8M vs a US\$330.7M market cap). Cash plus that mark alone is US\$1.65/share against a US\$1.33 tape.

What we believe, stated as a conditional rather than a conviction: **if that mark is honest, the stock is cheap by a wide margin; if it is not, nothing else about SNDL matters.** We have not established which. The disposition that follows from that is flat, not long — the price is attractive and the evidence is missing, and we do not buy the first without the second.

We also believe the operating business is deteriorating but is not the fight. Liquor same-store sales -6.2%, cannabis retail same-store sales -4.6%, cannabis operations revenue -10.1%, revenue -3.7% year over year. All of that is already in the two published analyst models. None of it is an edge.

What the market believes

The market believes SNDL is a shrinking cannabis-adjacent retailer with a self-marked private loan book it does not trust. Concretely, the tape is pricing:

- Revenue of about CA\$909M for 2026 (-2% to -4%) and a loss of about CA\$0.085/share — which is roughly what the company is printing. **We agree with the street on the operating line.** There is no revenue or margin disagreement to monetize.
- The SunStream mark at a heavy discount, or the operating business at close to nothing, or some mix. On a partial perimeter — cash US\$0.52/sh + SunStream US\$1.13/sh — about US\$117M of lease liabilities (US\$0.47/sh) — you get US\$1.18/sh, versus a US\$1.33 tape. So the market is assigning roughly US\$0.11–0.15/share, call it US\$30M, to a business with C\$943M of revenue and about C\$50M of annualized adjusted EBITDA. That is the mispricing claim in one number.

- Not a crowded short. Short interest is 2.13M shares, 0.86% of shares outstanding. The stock is down 54% from its 52-week high but only 14.2% off its low — this is a grind lower, not a forced-selling air pocket. Nobody is trapped; the market simply doesn't believe the balance sheet.

The stock has been debt-free, net-cash and actively buying back shares all year, and none of it has produced a re-rate. That is information: the market has seen the balance-sheet argument and declined it.

Why we might have edge

Three places, in descending order of strength.

1. Nobody publishes the mark. Two analysts cover this name with a US\$3.55 target and a zero-width range, and their load-bearing number is the revenue line. The valuation of a private, self-marked, Level-3 loan book that is 85% of market cap is not in anyone's published model. If we read the Level-3 valuation note in the 40-F — discount rate, collateral, borrower-by-borrower carrying values, and whether the auditor flagged it as a critical audit matter — we would know something the sell-side has not written down. That is a genuine, checkable information gap, and it is cheap to close.

2. Our own bench found the mark's tell, and it is not obvious. The carrying value went *up* in both quarters of H1 2026 — +C\$12.5M in Q1, +C\$5.0M in Q2 — and management attributes both increases “primarily” to the US-dollar-to-Canadian-dollar exchange rate. Net of a –C\$2.3M NAV write-down. **On a constant-currency basis the book was marked down in both quarters, and the only named driver of that write-down is Cannabist Co. entering Chapter 15 restructuring.** A screener sees carrying value rising. The disclosure says credit is decaying and the Canadian dollar is hiding it. That is a real read of a real document.

3. The screener numbers here are definitional traps, both directions. Public sources show SNDL at a price-to-free-cash-flow around 9x, computed as operating cash flow minus capex. SNDL's own definition of free cash flow charges the roughly C\$40M/year of lease principal that the screener excludes. Anyone buying this because it screens cheap on cash flow has been fooled by a definition. Symmetrically, anyone selling it because the reported “free cash flow” is negative has been fooled by the same definition in reverse — H1 operating cash flow was **positive** C\$7.2M; the negative headline is C\$20.2M of lease payments.

Why it might be priced in

Honestly: most of it probably is.

- **The balance-sheet story is a year old.** Net cash, no debt, buyback — all public, all through the entire 54% drawdown. The market's refusal to capitalize the mark is not an oversight; it is a judgment, and it has been consistent.
- **Our best finding may be a rediscovery.** The FX-driven mark increase is disclosed in plain English in the company's own quarterly text. It is not hidden. Any dedicated holder reading the

interim statements sees the same sentence we do. Our edge is that few people read it — not that it is unavailable. That is a weaker kind of edge and it decays the moment someone writes it up.

- **The discount may be the correct price of the opacity itself.** A self-marked, related-party loan book with one borrower already in Chapter 15 arguably *should* trade at a large haircut regardless of what the collateral schedule says. The market may be right for reasons that reading the note will not overturn.
- **Everything we could say about the operating business, the street already says.** Segment contraction, margin compression, decaying brand attention (our consumer-heat detector reads all three banners — Wine and Beyond, Value Buds, Surterra Wellness — as decaying). None of that is a differentiated view.
- **The one clean upside catalyst is undated.** The Parallel consolidation onto the Nasdaq-listed entity is written as “subject to applicable legal, regulatory, accounting and Nasdaq requirements,” with the Massachusetts adult-use business staying off the books “unless and until.” That is a conditional, not a schedule. We have been burned by treating conditional consolidations as dated events before, and we are not doing it here.

What could go wrong

Failure narrative 1 — the mark is written down and takes the whole thesis with it (monitorable, but only after the fact). SunStream is C\$400.4M against a US\$330.7M market cap. Cannabist is already in Chapter 15. If a second borrower follows, or the auditor forces a revaluation at year-end, the equity value that makes this stock “44% of book” compresses fast. A 50% haircut to SunStream takes book value from US\$3.01/share to about US\$2.21 and, at the same 0.45× multiple we would be willing to pay, takes the fair entry from US\$1.35 to about US\$1.10 — below today’s price. **We would be buying at what looks like a discount and holding what is actually a full price.** Tripwire exists but it is lagging: quarterly filings only.

Failure narrative 2 — the operating business erodes faster than the cash cushion, and the buyback stops. Liquor same-store sales are -6.2% with the flagship banner showing no attention inflection. The buyback bought 11.7M shares at an average US\$1.43 — *above* today’s price. The company has spent C\$33.1M on it in six months. If management chooses to preserve cash instead, the marginal buyer disappears. This is the reflexive leg and it is worth being blunt about: **the price support in this name is the issuer’s own discretionary bid, and it can be switched off in a single board meeting, most likely precisely when the business is deteriorating enough that we would want it on.** Our doctrine says never bid into flow we ourselves predict; here the flow is someone else’s and it is not durable. Monitorable via quarterly repurchase disclosure — again lagging.

Failure narrative 3 — NO MONITORABLE TRIPWIRE. SunStream lends to private, mostly US plant-touching cannabis operators. Those borrowers file nothing. There is no bond price, no CDS, no covenant test, no public docket that reliably surfaces distress before SNDL chooses to disclose it — we only learned about Cannabist because SNDL’s own note mentioned it, one quarter late. Between reports we are structurally blind. **Unknown-unknown class: undisclosed counterparty credit inside a private, self-marked book — the “silent impairment” class.** The specific unknowable is not

“will the mark fall” but “which borrower, and by how much, and we will find out on the same day the market does.” No sensor we own can be pointed at this. It is the reason the position stays flat rather than starting small: a small position does not solve a blind spot, it just makes it cheaper to be blind.

Structural and size leg. Our size is not the problem. A 0.5%-of-book starter is on the order of tens of thousands of shares against a high-attention Nasdaq ticker that trades millions of shares a day — well inside any liquidity ceiling, no market impact, easy exit. The structural risks are three others: (a) the issuer’s buyback is a bid we do not control; (b) a resting good-till-cancelled order sitting into the November print window would be an accidental short-volatility bet, because the Parallel consolidation is an undated conditional that could land inside that same window — any entry here must be a dated, working order, not a parked one; (c) doctrine interaction — a self-marked balance sheet whose integrity is the entire thesis is exactly the profile our own rules say never gets the “fairly-paid risk” treatment, which caps what we would pay well below any theoretical fair value and argues for a smaller size than the discount alone would suggest.

If this position loses money, the most likely reason will be that we bought a 44%-of-book discount that was never a discount at all — because the C\$400.4M SunStream mark, which we will have taken on faith from a document we had not finished reading, was worth a fraction of its carrying value, and we learned that from the same filing everyone else did, after the price already moved.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The “free cash flow” guide is a real operating test	Read the company’s own definition in the Q2 press exhibit	Company defines free cash flow as the total change in cash adjusted for buybacks, dividends, debt changes, long-term investments and acquisitions — not operating cash flow minus capex. A working-capital release satisfies it. But lease repayments <i>are</i> charged inside it, so it is stricter than the standard screener measure, not looser	Partly — our red bench called it a lease artifact and soft; those two can’t both be true. Corrected
H1 free cash flow of –C\$14.3M means the business burns cash	Decomposed the H1 cash-flow statement	Operating cash flow +C\$7.168M; capex –C\$4.424M; lease payments –C\$20.157M. The negative headline is lease classification	Confirmed
BENCH ERROR: “H2 needs a +C\$39M swing, a 5.4× step-up, unreachable”	Ran the prior-year seasonal split, which the red bench skipped	H1’25 was –C\$9.0M and full-year 2025 was +C\$18.0M, so H2’25 delivered +C\$27.0M. The 2026 requirement (+C\$14.3M) is 53% of what this same business already did last H2. Carry H1’s C\$5.3M year-over-year deterioration through H2 and 2026 still lands around +C\$7M	Overtured. Our own strongest-sounding kill was a seasonality artifact. This was the easiest kill available and it was the wrongest one
The SunStream mark barely moved while its counterparty restructured	Checked dates	BENCH ERROR: the Parallel restructuring completed July 27, 2026 — a subsequent event to the June 30 mark. The red bench’s “same quarter” framing is not available	Refuted

Claim	How checked	Found	Confirmed?
The –C\$2.3M write-down relates to Parallel	Read the attribution sentence	BENCH ERROR: it is attributed to declines in Cannabist Co.’s notes and equity following its Chapter 15 filing — a second distressed borrower the red bench never named	Refuted, and the corrected version is worse for the bull case
Carrying value is holding up	Compared both quarters’ attribution language	Q1 +C\$12.5M and Q2 +C\$5.0M both attributed “primarily” to the USD/CAD rate. Ex-currency, the book was marked down in both quarters	Confirmed — this is the strongest surviving finding
Buying a loan position at 25% off par validates the mark	Read who sold it	Seller was a motivated fund (“PE Fund LP”) selling post-restructuring paper to a buyer who already holds 69.4% of that debt. Accretive purchase, not a third-party valuation	BENCH ERROR — red over-read this as evidence about the mark
Cash + mark exceeds the tape, so the operating business is free	Recomputed with the correct share count	BENCH ERROR: red used 240.7M shares back-solved from market cap; actual is 248.66M . At the company’s own USDCAD 1.4210, cash+mark is US\$1.65/sh, not US\$1.76 . Net the ~US\$117M of lease liabilities and it is US\$1.18 — below the US\$1.33 tape	Refuted as stated. And the blue bench’s “≈ the tape” softens a real 13% gap: the operating business is priced slightly positive, not negative
Book value of US\$3.01/share is a solid floor	Compared full and partial perimeters	The gap between book (US\$3.01) and cash+mark–leases (US\$1.18) is about US\$1.83/share of other net assets — stores, inventory, property, goodwill and acquisition intangibles from a roll-up. Neither bench audited any of it	Not confirmed — open, and it could be substantially goodwill
The stock is crowded / over-owned	Pulled short interest	2.13M shares, 0.86% of outstanding. Not a crowded book	BENCH ERROR — red asserted crowding without evidence
The street numbers are a usable anchor	Read the published forecast	Two analysts; revenue CA\$909.3M is corroborated by the –3.7% print; but the same page shows EPS +\$0.31 alongside a consensus loss — internally inconsistent	Partly. BENCH ERROR: red called the data unreliable and then used it to stamp findings as consensus. Revenue holds; the margin and same-store-sales figures are unverified, not consensus
Our satellite detectors covered the relevant asset	Checked which facility the news concerns	The August 4 catalyst is Atholville, New Brunswick , which is absent from our resolved-facility list. Thermal and buildout detectors were aimed at Rocky View. Also: OSHA has no Canadian jurisdiction and provincial equivalents are not in our atlas	Not confirmed — real coverage gap on both counts
Numbers are consistent across venues	Diffed the investor-relations release against	Every load-bearing figure reconciles — the cash-flow definition, operating cash flow, leases, capex, cash, equity, the	Confirmed. Absence of manipulation is

Claim	How checked	Found	Confirmed?
	the SEC exhibit line by line	SunStream carrying value, the buyback, segment revenue and same-store sales, the currency statement, the guidance sentence. No basis shift, no redefined cohorts	itself a positive finding here
Runway risk	Cash draw vs balance	C\$183.2M cash, no funded debt, ~C\$47M H1 draw of which C\$33.1M is a discretionary buyback → roughly two years even at H1 pace, and switchable	Confirmed — no runway kill is available and we decline to manufacture one

Primary source for the figures above: [SNDL Q2 2026 6-K, Exhibit 99.1](#) · [Parallel completion 6-K, Exhibit 99.1](#) · [EU-GMP 6-K](#) · [40-F](#) (SEC returned 403 to direct fetches; all reads were proxy-fetched).

PROPOSED ENTRY BANDS

The courts say no entry. There is a named, specific reason to stay out — a self-marked loan book that is 85% of market cap and whose only disclosed value driver in six months was a borrower entering Chapter 15 — so the usual “clean court gets a minimum starter” default does not apply. No order is staged. No size is committed.

These are the reopen conditions instead.

Reopen gate 1 — the document (binding, and it is the only one that matters). Read the Level-3 valuation note for SunStream in the [40-F](#) and the interim statements: valuation inputs, discount rate, borrower-by-borrower carrying values, collateral type, and whether the auditor named it a critical audit matter. **Neither bench opened this. It is the single highest-value hour of work available on this name and it costs nothing.** - If the note shows the book is majority senior-secured, real-estate-collateralized, at 60% loan-to-value or better → the discount is unearned and this becomes a **0.5%-of-book starter at or below 0.45× book value.** - **Important arithmetic the benches did not surface:** 0.45× book on today’s stated equity is **US\$1.35/share** — which is *above* the current US\$1.33 tape. **The price condition is already satisfied. The only thing standing between us and a starter is the unread document.** That should change the sequencing: this is a research task, not a price watch. - **If the note shows the book is unsecured, subordinated, or concentrated in operators like Cannabist** → no entry at any price, and the name goes on a do-not-revisit list until a full year of clean marks accumulates.

Reopen gate 2 — the haircut-adjusted price, if the note is ambiguous. If the note is read and is neither clean nor damning, do not pay for stated book. Mark SunStream down 50% and recompute: equity falls to about US\$2.21/share, and 0.45× of that is **US\$1.10/share**. That becomes the entry level — a limit at **US\$1.10 or below**, worked, day-only, never resting. Note this sits below the 52-week low of US\$1.165, so it may simply never fill; that is an acceptable outcome.

Sizing, if either gate opens. 0.5% of book, one tranche, no pre-committed add. This name does not earn a ladder: the thesis rests on a single unobservable input, and averaging down into an impairment

we cannot see is the exact failure mode described above. A second tranche requires a *new* fact — a clean audited mark or a completed consolidation with disclosed economics — not a lower price.

Exit / trim conditions, stated in advance. - **Thesis-void, upside:** if the price exceeds **US\$1.65** — the gross cash-plus-mark-per-share figure — without any new disclosure about the mark, the discount has closed on flow rather than facts. Exit in full; there is nothing left to own. - **Thesis-void, downside:** any disclosed write-down of SunStream greater than 20% of carrying value, or a second named borrower entering insolvency proceedings. Exit in full on the disclosure, not on the price. - **Support-removal:** if the buyback is suspended or materially reduced, cut the position in half regardless of price. The bid we were leaning on is gone.

Catalyst dates. - **~2026-11-02** — end of the 90-day window in which the company “anticipates receipt of EU-GMP certification” for Atholville, stated in the [August 4 release](#). Company-stated window; the specific date is our arithmetic, not theirs. Low P&L significance, but it is dated and checkable, and neither bench put a sensor on it. - **2026-11-03 to 2026-11-10** — Q3 results. **The November 3 date is derived from a data aggregator and is not confirmed by any company release;** other aggregators say ~November 10. Roughly 50 trading days out. Treat the whole week as the window. No pre-print positioning is warranted: on the seasonality math the guide is likely met and the print will settle nothing material about the actual question. - **Undated** — Parallel consolidation onto the Nasdaq entity. Conditional, not scheduled. Do not build a calendar around it, and specifically do not leave a resting order in the November window where it could land.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 1.165 (deck-provisional: 52-week low break; converts the grind-lower read into an air-pocket and forces a re-read of who is sel)
- filing watch: 40-F,6-K until 2027-02-19 (deck-provisional: SunStream Level-3 valuation note - inputs, discount rate, collateral, borrower-by-borrower carrying va)
- dated pack SNDL|2026-11-02: SNDL: end of the company’s stated 90-day window to receive EU-GMP certification for the Atholville, New Brunswick facility (date confirmed=F)
- dated pack SNDL|2026-11-03: SNDL: Q3 2026 results - aggregator-derived date, not named in any company release (date confirmed=False)
- dated pack SNDL|2026-11-10: SNDL: alternative Q3 2026 results date indicated by other aggregators; treat Nov 3-10 as the window (date confirmed=False)

What remains unverified

1. **The SunStream Level-3 valuation note.** Inputs, discount rate, collateral, loan-to-value, borrower-level carrying values, auditor treatment. Unread by both benches. This is the thesis.
2. **The composition of the roughly US\$1.83/share gap** between stated book value and the cash-plus-mark-minus-leases figure. How much is goodwill and acquisition intangibles from the

roll-up? Nobody looked.

3. **The size of the US cannabis cash-tax burden on consolidation.** The mechanism is confirmed — consolidating roughly US\$150M of US plant-touching revenue imports a punitive federal tax treatment SNDL has never carried. The magnitude is unknown, and no standalone Parallel EBITDA has been disclosed. It lands on 2027, not the 2026 guide.
4. **Gross margin –370bp and the segment same-store-sales figures.** Cited without a source note. Treat as unverified, not as agreed-with-the-street.
5. **Where the H2 cash generation actually comes from** — working capital release versus earnings. The H1 inventory and payables detail would settle it.
6. **The Q3 reporting date.** Unconfirmed by the company.
7. **Price history.** Broker permission for historical bars was denied, so every path claim rests on two summary statistics (–54% from the high, +14.2% off the low) and nothing else.
8. **Canadian workplace-safety data.** No US equivalent applies to Alberta/British Columbia/New Brunswick facilities and provincial sources are not in our coverage. Reportable gap.

```
{"price_gates": [{"level": 1.10, "direction": "below", "basis": "0.45x book after a 50% haircut to the C$400.4M SunStream mark – the entry level if the Level-3 note is ambiguous rather than clean"}, {"level": 1.165, "direction": "below", "basis": "52-week low break; converts the grind-lower read into an air-pocket and forces a re-read of who is selling"}, {"level": 1.65, "direction": "above", "basis": "gross cash plus SunStream mark per share at USDCAD 1.4210; above this the discount has closed on flow not facts and the thesis is void"}, {"level": 1.43, "direction": "above", "basis": "issuer buyback average price for H1 2026; above it the company is no longer buying below its own cost and the discretionary bid may lapse"}], "event_gates": [{"forms": ["40-F", "6-K"], "why": "SunStream Level-3 valuation note – inputs, discount rate, collateral, borrower-by-borrower carrying values, auditor critical-audit-matter treatment; this is the binding document and it is unread"}, {"forms": ["6-K"], "why": "Parallel consolidation onto the Nasdaq entity – undated conditional; must carry standalone Parallel EBITDA and the US cannabis cash-tax figure"}, {"forms": ["6-K"], "why": "Q3 2026 results, including any write-down of the investment portfolio, the buyback run rate, and same-store sales"}, {"forms": ["6-K"], "why": "any disclosure naming a further SunStream borrower in default, restructuring or insolvency proceedings"}], "catalyst_dates": [{"date": "2026-11-02", "what": "end of the company's stated 90-day window to receive EU-GMP certification for the Atholville, New Brunswick facility", "confirmed": false}, {"date": "2026-11-03", "what": "Q3 2026 results – aggregator-derived date, not named in any company release", "confirmed": false}, {"date": "2026-11-10", "what": "alternative Q3 2026 results date indicated by other aggregators; treat Nov 3-10 as the window", "confirmed": false}], "immediate_entry": null}
```